professionals are a little shocked when, in the NPS environment, incumbent manufacturers do not control the distribution. All distributors are equally keen to push all products; all manufacturers have equal access to all distributors.

Similar arguments are found in electricity where governments have pushed in favour of breaking up monolithic electricity utilities into three distinct industries: generation, transmission and distribution. This creates opportunities for entrants in generation and transmission. Until this unbundling was done, the firm that owned the distribution was the only game in town when it came to transmission and generation.

Forcible unbundling backed by state coercion is a harsh intervention. What is an alternative, softer strategy? Suppose a new-generation company came up, and was denied access by an old-style integrated electricity utility. It could have used conventional competition law to litigate, and could have won, on the surface. However, there are too many levers, through which the monolithic utility could have rigged the game to disfavour the new entrant. It would take very high state capacity for a Competition Commission of India (CCI) to track down such misbehaviour and enforce against it.

When state capacity is low, simple and transparent interventions are favoured. A simple unbundling rule is easier to articulate and enforce, when compared with the complexity of fighting with an integrated utility that is trying to hamper access to a new entrant.

In the field of technology policy, at heart, net neutrality regulation is about forcing an unbundling between the content industry and the data pipes. The content industry is analogous to a manufacturer. What is best for society is that content firms slug it out against each other to produce better content. Under net neutrality, content firms are not allowed to do deals with the data pipes in order to create privileged distribution for themselves. Similarly, data pipe companies must slug it out against each other to give us fatter pipes at lower prices. But they are not allowed to do deals with content companies in order to create complicated bundles of content and pipes for customers. The separation protects competition in both industries.